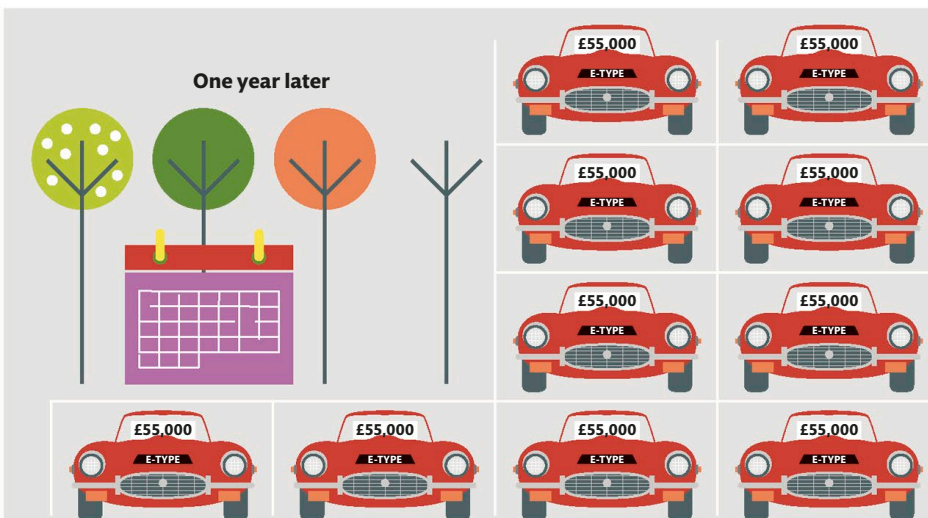


265%
the ratio of
household debt
to household
income in
Denmark –
the highest
in the world



CARS INCREASE IN VALUE

Buyer B makes a larger profit as the gains are multiplied when selling the cars at a profit of £5,000 each. His gross profit is £50,000; net profit can be calculated by deducting interest payments. However, there is also the possibility of losing more money if the cars lose value.

Buyer B
makes
a gross
profit of
£50,000

INTEREST AND BANKRUPTCY

Interest

This is the cost paid to borrow money. It is expressed as a percentage of the capital borrowed. Various debt products have different interest rates. The rate might be fixed for a set period of time or be "variable", meaning it can change. It is very important for individuals to take interest costs into account when borrowing to invest.

Bankruptcy

This is a legal process that releases a person (or company) from almost all of their debts. People (and companies) can declare bankruptcy if they do not have a realistic chance of repaying their debts. Although it can be used for a fresh start, the financial consequence can be that it adversely affects a person's credit rating, and therefore their ability to borrow in the future.